

23STCV02212 23STCV02212

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Case Number: 23STCV02212 Hearing Date: August 11, 2026 Dept: 11

Preliminary

Approval of Class Action Settlement

Department SSC-11

Rex Alan Dinesen v. U.S. Tool Grinding, Inc.

Case No. 23STCV02212

Hearing: August 11, 2026

TENTATIVE RULING

Continue for counsel to
address the issues noted in the accompanying checklist.

BACKGROUND

This is a
wage and hour class action. On February
1, 2023, Rex Alan Dinesen ("Dinesen"), individually and on behalf of all others
similarly situated, filed a putative class action against U.S. Tool Grinding,
Inc. ("Defendant" or "Tool Grinding") and Does 1 through 20, asserting the
following claims: (1) Failure to Pay Minimum Wages; (2) Failure to Pay Overtime
Wages; (3) Failure to Provide Meal Periods; (4) Failure to Permit Rest Breaks;
(5) Failure to Reimburse Business Expenses; (6) Failure to Provide Accurate
Itemized Wage Statements; (7) Failure to Pay Wages Timely During
Employment; (8) Failure to Pay All Wages Due Upon Separation of Employment; and

(9) Violation of Business and Professions Code §§ 17200, et seq. (Case No. 23STCV02212) ("Dinesen Class Action").

On June 6, 2023, Defendant filed a Notice of Removal to Federal Court indicating that the Dinesen Class Action had been removed to the U.S. District for the Central District of California. On November 9, 2023, Dinesen's Motion to Remand Action to State Court was granted and the action was remanded to the Los Angeles County Superior Court.

On December 19, 2023, Quanza Berry ("Berry"), individually and on behalf of all others similarly situated, filed a putative class action against Defendant asserting seven causes of action for violations of the California Labor Code and the California Business and Professions Code (Case No. 23STCV30925) ("Berry Class Action").

On January 19, 2024, Defendant filed a Notice of Related Case listing the Berry Class Action. On January 23, 2024, the Court found the Dinesen Class Action (23STCV02212) and the Berry Class Action (23STCV30925) to be related within the meaning of California Rules of Court, rule 3.300(a), and designated the Dinesen Class Action as the lead case.

On February 23, 2024, Berry filed a separate representative action against Defendant for civil penalties pursuant to the Private Attorneys General Act ("PAGA"), Labor Code section 2698, et seq. (Case No. 24STCV04618) ("Berry PAGA Action"). Defendant filed an Answer on May 8, 2024.

On July 1, 2024, Defendant filed another Notice of Related Case, listing the Berry PAGA Action. On July 17, 2024, the Court found the Dinesen Class Action (23STCV02212) and the Berry PAGA Action (24STCV04618) to be related within the meaning of California Rules of Court, rule 3.300(a), and designated the Dinesen Class Action as the lead case.

On July 29, 2025, the Court approved the parties' Stipulation and Protective Order.

On August 20, 2024, the parties participated in a mediation with Chris Barnes, Esq., but did not reach a settlement. (Declaration of Alexander G.L. Davies (“Davies Decl.”), ¶¶10-11.) On November 5, 2024, the parties attended a second unsuccessful mediation session with Chris Barnes, Esq. (Id. at ¶13.) On October 3, 2025, the parties participated in a third full-day mediation session with Steve Serratore and subsequently, accepted the mediator’s proposal. (Id. at ¶¶17-18.) A copy of the fully executed long form Class Action and PAGA Settlement Agreement (“Settlement Agreement” or “Agreement”) is attached to the declaration of counsel Davies as Exhibit 1. (Id. at ¶64, Ex. 1.)

Now before the Court is the Motion for Preliminary Approval of the Class and Representative Action Settlement (“MPA”), filed on July 20, 2026.

SETTLEMENT

CLASS DEFINITION

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“Class” means all non-exempt employees employed by Defendant in California at any time between August 7, 2018 and December 28, 2025, or the date that Preliminary Approval of the Settlement is granted, whichever is earlier. (Settlement Agreement, ¶1.7.)

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“Class Period” means the period from August 7, 2018 to December 28, 2025, or the date that Preliminary Approval of the Settlement is granted, whichever is earlier. (¶1.14)

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“Aggrieved

Employee” means all non-exempt employees employed by Defendant in California at any time between February 1, 2022 and December 28, 2025, or the date that Preliminary Approval of the Settlement is granted, whichever is earlier. (¶1.6)

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“PAGA Period”

means the period from February 1, 2022 to December 28, 2025. (¶1.32)

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“Participating Class Member”

means a Class Member who does not submit a valid and timely Request for Exclusion from the Settlement. Both Pick Up Stix Settled Class Members who continued to work for Defendant after the date of their individual release and Pick Up Stix Unsettled Class Members shall be entitled to participate in the Class portion of the Settlement, subject to limitations noted in ¶ 1.37 below. Pick Up Stix Settled Class Members who did not work for Defendant after the date of their individual release shall only be entitled to participate in the PAGA portion of the Settlement, as applicable. (¶1.36)

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“Pick Up Stix Settled Class

Member” means a Class Member who received a direct settlement payment as part of Defendant’s Pick Up Stix program as verified from the Class Data. Defendant represents that there are 172 Pick Up Stix Settled Class Members, which also will be verified from the Class Data. For Pick Up Stix Settled Class Members who did not work for Defendant after the date of their individual release, those Class Members will only participate in the settlement as PAGA employees during the PAGA Period. For Pick Up Stix Settled Class Members who continued to work for Defendant after the date of their individual releases, they will only participate in the Class Settlement for those workweeks after the release date from the individual release signed, and will participate in the settlement as PAGA employees during the PAGA Period as applicable. (¶1.37)

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“Pick Up Stix Unsettled Class

Member” means a Participating Class Member who did not receive a direct settlement payment from Defendant as part of Defendant’s Pick Up Stix program, as verified from the Class Data. (¶1.38)

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“Plaintiffs” means Plaintiff

Dinesen and Plaintiff Berry, collectively.

(¶1.41)

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The Parties agree that class certification and representative treatment is for purposes of this Settlement only. (§11.1)

TERMS OF SETTLEMENT AGREEMENT

The essential terms are as follows:

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The Gross Settlement Amount ("GSA") is \$1,400,000, non-reversionary. (§1.23, 3.1)

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Escalator Clause: Defendant estimates that there are 22,000 workweeks in the Class Period, and this serves as the basis for Plaintiffs accepting this agreement to settle. If the number of workweeks exceeds 22,000 by more than 5%, the GSA will increase pro rata per additional workweek. For example, if the number of workweeks increases by 6%, the GSA will increase by 1%. Alternatively, Defendant shall have the option to avoid the triggering of the escalator clause, and to cap the workweek count as of the date the total number of workweeks reaches (but does not exceed) 22,000 workweeks. (§8)

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The parties must resolve any uncertainty regarding the Class/PAGA Periods prior to preliminary approval being granted and notice being distributed. Based on current records, the parties and the administrator must review and verify the workweek total and confirm the end dates of the Class/PAGA Periods, revise the Class and PAGA Period definitions if needed, and remove the period-shortening option from the Escalator Clause. Ensure that the Notice and Proposed Order are modified to match any alterations to the Settlement Agreement.

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The Net Settlement Amount ("Net") (\$18,802.80) is the GSA minus the following:

o Up to \$466,666.67 (1/3 of GSA) for attorney fees (§3.2.2);

§ According to Plaintiffs' counsel, there is a fee splitting agreement, which Plaintiffs have authorized in

writing. (Declaration of Monique Toby,
¶14.)

o Up to \$65,000 for
litigation costs (Ibid.);

o Up to \$15,000 for Service
Payment to Plaintiffs (\$7,500 to each named Plaintiff) (¶3.2.1);

o Up to \$5,550 for
settlement administration costs (¶3.2.3);

o Payment of \$20,000 PAGA
penalty (75% or \$15,000 to the LWDA) (¶3.2.5);

o \$808,980.53 paid to individual Pick Up
Stix Settled Class Members for individual settlement agreements. (¶¶1.23, 1.29)

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Defendant will separately pay employer payroll taxes owed
on the wage portions of the Individual Class Payments. (¶3.1)

.

There is no claim form requirement. (¶3.1)

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“Response

Deadline” means sixty [60] days after the Administrator mails the Class
Notice and shall be the last date on which Class Members may: (a) fax, email or
mail Requests for Exclusion, (b) fax, email or mail objections to the
Settlement, or (c) fax, email or mail a challenge to the number of Workweeks
allocated to the Class Member in the Class Notice. Class Members to whom Class
Notices are resent after having been returned undeliverable to the
Administrator shall have their deadline extended an additional fourteen [14]
calendar days beyond the Response Deadline.

(¶¶1.47, 7.4.4)

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Funding of Settlement: Defendant shall fully fund the Gross Settlement Amount,
and also fund the amounts necessary to fully pay Defendant’s share of payroll

taxes, by transmitting the funds to the Administrator no later than sixty-five [65] days after the entry of Judgement. (§4.2)

Distribution of

the GSA: Within fourteen [14] days after

Defendant funds the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payments. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representative Service Payments shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (§4.3)

Individual Class

Payment Calculation: An Individual

Class Payment, which the Administrator shall calculate by (a) dividing the Net Settlement Amount by the total number of Workweeks worked by all Participating Class Members during the Class Period and (b) multiplying the result by each Participating Class Member's Workweeks. Pick Up Stix Unsettled Class Members shall be entitled to participate for the entire Class Period. As noted in §§ 1.36 - 1.37, and to equalize the distribution of the funds and prevent unfairness with respect to the treatment of the Participating Class Members, Pick Up Stix Settled Class Members who did not work any Workweeks for Defendant in the Class Period after the release date on their respective individual settlements shall not be entitled to participate in the Class portion of the settlement, and will receive no further funds except for their shares as Aggrieved Employees, if applicable. To the extent Pick Up Stix Class Member(s) did work additional Workweeks for Defendant during the Class Period following the release date of their respective individual settlement, such Class Member(s) will only be able to participate in the Class portion of the Settlement for those additional Workweeks accrued during the Class Period after their release date, as calculated and verified by the Administrator. If the data provided to the Administrator turns out to be inaccurate (either due to missing employees, wrong dates of employment, or incorrect release dates for any individual Pick Up Stix settlement reached), Defendant agrees to pay any additional funds due to those Participating Class Members by adding to the Gross Settlement Amount, such that their payments will equal the same as

someone who worked the same amount of weeks based on the methodology detailed herein. (§3.2.4)

Non-Participating Class Members will not receive any Individual Class Payments. The Administrator will retain amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (§3.2.4.2)

o Tax

Allocation: 10% as wages; 90% as interest and penalties. (§3.2.4.1)

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Individual PAGA Payment Calculation:

The Administrator will calculate each

Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties (\$5,000.00) by the total number of PAGA Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's PAGA Pay Periods. (§3.2.5.1) If the Court approves PAGA Penalties of less than the amount requested, the Administrator will allocate the remainder to the Net Settlement Amount. (§3.2.5.2)

o

Tax Allocation: The Administrator will report the Individual PAGA Payments on IRS 1099 Forms. (§3.2.5.2)

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Uncashed Settlement Checks: The face of each check shall prominently state the date (not less than 180 days after the date of mailing) when the check will be voided. The Administrator will cancel all checks not cashed by the void date. (§4.3.1) For any Class Member whose Individual Class Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such a check to the California Controller's Unclaimed Property Fund in the name of the Class Member. (§4.3.3) For any Aggrieved Employee whose Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such check to the California Controller's Unclaimed Property Fund in the name of the Aggrieved Employee thereby leaving no "unpaid residue" subject to the requirements of Code of Civil Procedure section 384, subdivision (b). (§4.3.4)

The settlement administrator will be ILYM Group, Inc. (¶¶1.4, 7.1; Davies Decl., ¶67, Ex. 4 – ILYM's administration bid.)

o Provide the qualifications

and experience of the Administrator, including evidence that the administrator has procedures in place to protect the security of class data and adequate insurance in the event of a data breach or defalcation of funds.

· Plaintiffs filed the proposed settlement agreement with the LWDA on June 3, 2026. (Davies Decl., ¶¶21, 66, Ex. 3.)

· Participating class members and the named Plaintiffs will release certain claims against Defendant. (See further discussion below)

ANALYSIS OF SETTLEMENT AGREEMENT

1.

Does a presumption of fairness exist?

1.

Was the

settlement reached through arm's-length bargaining? Yes. On August 20, 2024, the parties participated in a mediation with Chris Barnes, Esq., but did not reach a settlement. (Davies Decl., ¶¶10-11.) On November 5, 2024, the parties attended a second unsuccessful mediation session with Chris Barnes, Esq. (Id. at ¶13.) On October 3, 2025, the parties participated in a third full-day mediation session with Steve Serratore and subsequently, accepted the mediator's proposal. (Id. at ¶¶17-18.) A copy of the fully executed long form Class Action and PAGA Settlement Agreement ("Settlement Agreement" or "Agreement") is attached to the declaration of counsel Davies as Exhibit 1. (Id. at ¶64, Ex. 1.)

2.

Were

investigation and discovery sufficient to allow counsel and the court to act intelligently?

Yes. Counsel represents that in

advance of mediation, Defendant produced its relevant policies documents, all employee handbooks in effect during the Class Period, wage statement exemplars, a 25 % time and pay records sampling of the class members (from June 2021 through 2023), and updated metrics for the putative class, including the total number of class members and workweeks during the Class Period and number of aggrieved employee and pay periods in the PAGA liability period.

(Davies Decl., ¶9.) This information was

reviewed with the assistance of an outside damages expert. (Id. at ¶10.) While the parties remained in discussions via the mediator, Defendant engaged in a Pick Up Stix campaign with the

putative Class Members; thus, Plaintiffs proceeded with formal discovery. (Id. at ¶¶14-15.) On November 7, 2024, Plaintiff Dinesen served

his first set of written discovery, seeking, inter alia, his personnel files, policy documents, the class members' contact information, and class members' timekeeping and pay records. Following extensive meet and confers between counsel, following the receipt of Defendant's initial responses on December 11, 2024, Defendant thereafter produced supplemental responses and documents on or around May 9, 2025. Plaintiff Dinesen served his second round of formal discovery on Defendant on May 20, 2025, and received Defendant's responses on or around June 23, 2025. Plaintiff Dinesen also deposed Defendant's PMK on January 21, 2025, and September 5, 2025, and responded to Defendant's written discovery requests, including Form interrogatories, Special Interrogatories, and Requests for Production of Documents. (Id.

at ¶15.)

Demonstrate that the sample is statistically reliable.

3.

Is counsel

experienced in similar litigation? Yes. Class Counsel are experienced in class action litigation, including

wage and hour class actions. (Davies Decl., ¶¶49-61;

Toby Decl., ¶3.)

4.

What percentage

of the class has objected? This cannot be determined until the fairness hearing. (See

Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter

Group 2014) ¶ 14:139.18, (“Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing.”).)

CONCLUSION: The settlement is entitled to a presumption of fairness.

2.
Is the settlement fair, adequate, and reasonable?

1.
Strength of
Plaintiff’s case.

“The most important factor is the strength of the case for plaintiff on the merits, balanced against the amount offered in settlement.” (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.)

Counsel
has provided the following exposure analysis:

CLAIM

MAX EXPOSURE

REDUCED EXPOSURE

Overtime Wages

\$500,000

\$175,500

Minimum Wage / Failure to Pay All Wages Owed

\$43,841

\$1,700

Meal Period Claims

\$1,000,000

\$43,000

Rest Periods Claims

\$2,464,973

\$221,800

Reimbursement Claims

\$95,423

\$1,000

Waiting Time Penalties

\$687,511

\$61,900

Wage Statement Penalties

\$448,000

\$40,300

PAGA

\$874,800

\$20,000

TOTAL

\$6,114,548

\$565,200

(Davies Decl., ¶¶29-45.)

2. Risk,

expense, complexity and likely duration of further litigation. Given the nature of the class claims, the case is likely to be expensive and lengthy to try. Procedural hurdles (e.g., motion practice and appeals) are also likely to prolong the litigation as well as any recovery by the class members.

3. Risk

of maintaining class action status through trial. Even if a class is certified, there is always a risk of decertification. (See *Weinstat v. Dentsply Intern., Inc.* (2010) 180 Cal.App.4th 1213, 1226 (“Our Supreme Court has recognized that trial courts should retain some flexibility in conducting class actions, which means, under suitable circumstances, entertaining successive motions on certification if the court subsequently discovers that the propriety of a class action is not appropriate.”).)

4. Amount offered in

settlement. Plaintiff’s counsel obtained a \$1,400,000 non-reversionary settlement. This is approximately 22.9% of the estimated maximum potential exposure and more than 200% of the estimated realistic exposure, which, given the uncertain outcomes, is within the “ballpark of reasonableness.”

The \$1,400,000 settlement amount, after being reduced by the requested deductions, leaves approximately \$18,802.80 to be divided among approximately 200 class members. Assuming full participation, the resulting payments will average approximately \$94.01 per class member.

5. Extent of discovery

completed and stage of the proceedings.

As indicated above, at the time of the settlement, Class Counsel conducted sufficient discovery.

6. Experience and views

of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, are experienced in class action litigation, including wage and hour class actions.

7. Presence

of a governmental participant. This factor is not applicable here.

8. Reaction

of the class members to the proposed settlement. The class members' reactions will not be known until they receive notice and are afforded an opportunity to object, opt-out and/or submit claim forms. This factor becomes relevant during the fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed "fair, adequate, and reasonable."

3.

Scope of the release

Effective

on the date when Defendant fully funds the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiff, Class Members, Aggrieved Employees, and Class Counsel will release claims against all Released Parties as follows: (§15)

.

Release by

Participating Class Members: All

Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, attorneys, administrators, successors and assigns, release Released Parties from all claims that were alleged, or reasonably could have been alleged, based on the facts and allegations in the Operative Complaints that are alleged to have occurred during the Class Period. Except as set forth in Section 5.3 of this Agreement, Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, or workers' compensation or claims based on events occurring outside the Class Period. (§15.2)

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Release by Aggrieved Employees: All Aggrieved Employees are

deemed to release, on behalf of themselves and their respective former and present representatives, agents, attorneys, administrators, successors and assigns, the Released Parties from all claims for PAGA Penalties that were alleged, or reasonably could have been alleged, based on the facts and allegations in the Operative Complaints that are alleged to have occurred during the PAGA Period and the PAGA Notice.

(¶5.3)

o

“PAGA Notice” means Plaintiff Dinesen’s February

1, 2023 letter to Defendant and the LWDA, and Plaintiff Berry’s December 19, 2023 letter to Defendant and the LWDA providing notice pursuant to Labor Code section 2699.3, subdivision (a). (¶¶1.34; Davies Decl., ¶65, Ex. 2; Toby Decl., ¶6, Ex.

1.)

o Because future PAGA claims are

subject to claim preclusion upon entry of the Judgment, Non-Participating Class Members who are Aggrieved Employees are deemed to release the claims identified in Paragraph 5.3 of this Agreement and are eligible for an Individual PAGA Payment. (¶7.5.4)

· Named Plaintiffs will also provide a general release and CC §1542 waiver. (¶5.1)

· “Released Parties” means Defendant and each of its former and present directors, officers, shareholders, owners, members, attorneys, insurers, predecessors, successors, assigns, subsidiaries, affiliates. (¶1.45)

4.

May conditional class certification be granted?

1.

Standards

A detailed analysis of the elements

required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified (Amchem Products, Inc. v. Winsor (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a different standard to determine the propriety of a settlement class as opposed to a litigation class certification. Specifically, a lesser standard of scrutiny is used for settlement cases. (Dunk at 1807, fn 19.) Finally, the Court is under no “ironclad requirement” to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (Wershba at 240.)

2.

Analysis

a.

Numerosity. There are approximately 200 class members. (Davies Decl., ¶23.) This element is met.

b.

Ascertainability. The proposed class is defined above. The class definition is “precise, objective and presently ascertainable.” (Sevidal v. Target Corp. (2010) 189 Cal.App.4th 905, 919.) The class members are identifiable from Defendant’s records. (Davies Decl., ¶23.)

c.

Community of interest.

“The community of interest requirement involves three factors: ‘(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.’” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

As to

commonality, Plaintiffs alleges that Defendant maintained uniform employment policies and/or practices that illegally deprived Class Members of lawful wages, meal periods, rest breaks, accurate wage statements, and waiting time pay. Plaintiffs’ allegations present common legal and factual questions of, inter alia, whether Defendant applied the same scheduling, timekeeping, minimum and overtime pay, meal period, and rest break policies to all Class Members; whether these policies and practices resulted in Labor Code violations; whether Defendant’s conduct was intentional; and whether Class Members are entitled to penalties. These common questions could be resolved using Class Members’ schedules, time punches, and payroll records, Defendant’s corporate representative’s testimony, written communications between Defendant and Class Members, and Class Member declarations. (Davies Decl., ¶24.)

As to typicality, Plaintiffs allege

that they and other Class Members were employed by Defendant and injured by Defendant’s common wage and hour policies and practices, including Defendant’s

scheduling, timekeeping, minimum wage pay, overtime pay, meal period, and rest break practices and policies. Through documents and information exchanged in both formal and informal discovery, including production of thousands of pages of documents by Defendant, and testimony from Defendant's PMK, Plaintiffs confirmed that these common policies and practices similarly affected Plaintiffs and the Class. Plaintiff

Dinesen's counsel interviewed Class Members and extensively reviewed policy documents and Class Members' time and pay records to perform a thorough analysis, and to further confirm their allegations. (Davies Decl., ¶25.)

As to

adequacy, Plaintiffs' interests are

coextensive with the interests of the Class, Plaintiffs have been active in the litigation, and are represented by experienced counsel. (MPA at 10:21-11:6; see Declarations of Rex Alan Dinesen and Quanza Berry.)

d.

Adequacy of class

counsel.

As indicated above, Class Counsel have shown experience in class action litigation, including wage and hour class actions.

e.

Superiority. Given the relatively small

size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION: The class may be conditionally certified since the prerequisites of class certification have been satisfied.

5.

Is the notice proper?

1.

Content of class

notice. The proposed notice is attached to

the Settlement Agreement as Exhibit A. Its content appears to be acceptable. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; the proposed deductions from the gross settlement amount (attorney fees and costs, enhancement awards, and

administration costs); the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing.

“Class Notice” will be mailed to Class Members in English. (¶1.13) Defendant’s counsel represented that Defendant only communicated with its employees in English, and all of its policies were in English, and therefore the Parties agreed that English-only notice will be sufficient. (Davies Decl., ¶22.)

Address the following issues in the Notice:

1) What is the purpose of the blank space on page 2 of the Notice?

2) Correct the following sentence: “v will not retaliate against you for any actions you take with respect to the proposed settlement.” (Notice, p. 3.)

3) According to the Notice, “Defendant will fund the Gross Settlement not more than [14] days after the judgment entered by the Court becomes final.” (III.1) However, according to the Settlement Agreement, Defendant shall fund the settlement no later than 65 days after entry of Judgement. (¶4.2) Address this inconsistency.

4) Correct the name of the administrator on page 6 of the Notice.

5) Include the definition of Released Parties in the Notice, as set forth in the Settlement Agreement at ¶1.45.

6) The Notice at ¶¶VI and VII should clarify that requests for exclusion and written objections may be submitted to the Administrator via fax, email, or mail, as set forth in the Settlement Agreement at ¶¶1.47, 7.5.1,

7.7.2.

7) The link provided in ¶IX directing recipients of the Notice to the Court's website is invalid. Provide a valid link.

2.

Method of class

notice:

Class Data: Not later than fifteen [15] days after the Court grants Preliminary Approval, Defendant will deliver the Class Data to the Administrator, in the form of a Microsoft Excel spreadsheet. (¶7.4.1)

Notice via direct mail: Using best efforts to perform as soon as possible, and in no event later than fourteen [14] days after receiving the Class Data, the Administrator will send to all Class Members identified in the Class Data, via first-class USPS mail, the Class Notice. Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database. (¶7.4.2)

Not

later than three [3] business days after the Administrator's receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send Class Notice to Class Members whose Class Notice is returned by the USPS a second time. (¶7.4.3) The deadline for Class Members' written objections, challenges to Workweeks, and Requests for Exclusion will be extended for Class Members whose notices are re-mailed. Class Members to whom Class Notices are resent after having been returned undeliverable to the Administrator shall have their deadline extended an additional fourteen [14] calendar days beyond the Response Deadline. The Administrator will inform the Class Member of the extended deadline with the re-mailed Class Notice. (¶7.4.4)

Notice of any change of the date, time, and location of the Final Approval Hearing and the Final Judgment will be posted on the Settlement Administrator's website. (¶7.8.1)

3.

Cost of class

notice. As indicated above, settlement administration costs are estimated not to exceed \$5,550. Prior to the time of the final fairness hearing, the claims administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

6.

Attorney fees and costs

CRC rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney fees

is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22

Cal.4th 1084, 1095-1096; Ramos v.

Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) Despite any agreement by the

parties to the contrary, "the court ha[s] an independent right and

responsibility to review the attorney fee provision of the settlement agreement

and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether Class Counsel

is entitled to \$466,666.67 (1/3 of

GSA) in attorney fees will be addressed at the fairness hearing when

class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with

billing information so that it can properly apply the lodestar method and must

indicate what multiplier (if applicable) is being sought as to each counsel.

Class Counsel should also be prepared

to justify the costs sought (capped at \$65,000)

by detailing how they were incurred.

7.

Incentive Awards to Class Representatives

The Settlement Agreement provides for an enhancement award of up to \$15,000 for the named Plaintiffs (\$7,500 to each named Plaintiff). In connection with the final fairness hearing, each named Plaintiff must submit a declaration attesting to why he/she should be entitled to an enhancement award in the proposed amount.

The named Plaintiff must explain why he/she “should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class.” (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial courts should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’” Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiff, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.)

The Court will decide the issue of the enhancement awards at the time of final approval.

....

CHECKLIST

FOR

PRELIMINARY

APPROVAL OF CLASS ACTION SETTLEMENT

Department:

SSC-11

RE:

Rex Alan Dinesen v. U.S. Tool

Grinding, Inc. (Case No. 23STCV02212)

In reviewing your motion for preliminary approval of class action settlement, the Court orders further briefing on the items checked below.

The additional briefing

shall be due by _____, 2026. Note: if briefing is not filed by said date the hearing will be placed off calendar. Your hearing date set for _____, is continued to the first available date of _____ at _____ in Department 11.

This checklist

provides direction on what information and argument the court requires to grant a motion for preliminary approval of a class action settlement. All parties are urged to carefully review the checklist and fully comply with each item that applies to the case in order that the motion may be promptly ruled upon. The content of the motion should follow the same order as this checklist, as that is how the judge and research attorney review the motion.

You should also consider using the form wage and hour

settlement agreements now available on the court's website at <https://www.lacourt.org/forms/all> – "Civil Forms" section.

With input and unanimous consensus from an Ad Hoc Wage and Hour

Committee (chaired by Judge Hogue and Judge Cunningham and comprised of 8

plaintiff's attorneys and 8 defense attorneys), the court has posted: (1) a form class action settlement agreement, (2) a form class action/PAGA settlement

agreement, (3) and a form PAGA settlement agreement. Using these

forms should cut down on attorney negotiation time and reduce the lag time

between a successful mediation and execution of a long form agreement. Filing a motion that is based on a form agreement and includes a redlined copy identifying modifications will also

expedite the court's review process and help reduce the current backlog on

hearings. These forms are encouraged but

entirely optional.

I.

MOVING PAPERS (Motion and Declarations)

All facts

submitted for the court to consider must be provided in the form of a declaration or other admissible evidence. The court will not consider facts stated only in the motion.

A. Introductory Information

¿ Summary of the litigation, including identity

of the parties, brief procedural history, claims asserted, and general factual basis for the claims.

.

Some of the procedural history in counsel Davies's declaration (§§3-6) and the Settlement Agreement (§§2.1-2.2) is inconsistent with the Court record.

Review and revise.

.

According to the Settlement Agreement at §2.1, "[o]n May 26, 2023, Plaintiff Dinesen filed a First Amended Complaint adding a single cause of action for the enforcement of the Privates Attorneys' General Act of 2004 ("PAGA"). The First Amended Complaint is the operative complaint in the Dinesen Action (the "Dinesen Operative Complaint")." However, an amended complaint has not been filed in the Dinesen Class Action.

Please file an amended complaint consolidating the claims that were resolved as part of the settlement.

B. Dunk/Kullar Analysis

¿ Summary

of the case, including the legal and factual basis for each claim. (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 133 (Kullar); Munoz v. BCI Coca-Cola Bottling Co. of Los Angeles (2010) 186 Cal.App.4th 399, 409.)

¿ Summary

of the investigation and discovery conducted, including the specific documents reviewed prior to agreeing to settle the case. (Dunk v. Ford Motor Co. (1996) 48 Cal.App.4th 1794, 1802, as modified Sept. 30, 1996 (Dunk).) If counsel's analysis was informed by a data sample, show that the sample is statistically reliable.

.

According to Plaintiff's counsel, Defendant produced a 25% time and pay records sampling of the class members. (Davies Decl., §9.) Demonstrate that this sample is statistically reliable.

¿ Summary of settlement

negotiations, including when the settlement was reached, and

whether the

parties were assisted by a mediator. (Dunk, supra, 48 Cal.App.4th at p. 1802.)

¿ A

summary of the risks, expenses, complexity, and duration of further litigation

if the

settlement is not

approved.

¿ A

summary of the risks of achieving and maintaining class action status.

¿

Specific information sufficient for the court to make an independent determination that the consideration being received for the release of class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation. (Kullar, supra, 168 Cal.App.4th at 129.) This discussion should specify the maximum realistic recovery of each claim asserted in the operative complaint, defenses asserted by Defendant, and any other relevant factors justifying the amount offered in settlement. If the settlement is predicated on a payment plan or is predicated on defendant's financial situation, admissible evidence of Defendant's financial situation should be provided, including appropriate financial documents such as a balance sheet, statement of cash flows, profit and loss statement, and the like.

¿ If

approval of the settlement of class claims is requested together with approval of non-class claims (such as claims under the Labor Code's Private Attorney General Act (PAGA)) discuss why the amount allocated to the non-class claims is fair to those affected. See *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 77 (Moniz).

C. Class

Certification

¿ Numerosity:

Total number of members in the settlement class and number of members in each sub-class (if applicable).

¿ Ascertainability:

The manner by which members of the class will be identified and when. (Noel v. Thrifty Payless (2019) 7 Cal.5th 955.)

¿ Community

of Interest: Discuss specific facts showing that the proposed class representatives have claims or defenses typical of the class and can adequately represent the class. (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

¿

Adequacy:

Class Counsel: A summary of Class Counsels' experience and a listing of all prior cases in which each named Class Counsel has been approved by a court to act as lead or co-counsel. (See Dunk, supra, 48 Cal.App.4th at p. 1802.)

Class Representative(s): Provide evidence that each proposed class representative has agreed to act as same and understands his or her responsibilities. (See Soderstedt v. CBIZ Southern California, LLC (2011) 197 Cal.App.4th 133, 155-156; Jones v. Farmers Ins. Exchange (2013) 221 Cal.App.4th 986, 998-999).

D. Claim

Requirement (if applicable)

¿ If

class members are required to submit a claim to receive compensation, explain why a claim form is necessary and either 1) provide an estimate of the anticipated claims rate or 2) provide an explanation why a claims rate cannot be provided.

¿ Provide

a detailed explanation why a "claims made" settlement is appropriate in this case.

¿ Indicate

what actions class counsel will take to encourage claim submission.

¿ Explain

why the claims process is not so burdensome that relief would be inaccessible to class members (if applicable).

E. Miscellaneous

¿ If

appropriate, explain why the settlement includes terms that are outside the scope of the operative complaint. (Trotsky v. Los Angeles Fed. Savings & Loan Assn. (1975) 48 Cal.App.3d 134, 148.) If approval of settlement of a PAGA claim is requested provide a copy of Plaintiff's notice letter to the LWDA.

¿ If

notice will be given in English only, explain why this is sufficient.

¿ A

statement of any affirmative obligations to be undertaken by the class member or class counsel and the reason for such obligations.

¿ Provide

information regarding any fee splitting agreement and whether the client has given written approval. (Mark v. Spencer (2008) 166 Cal.App.4th 219; Rules Prof. Conduct, rule 1.5.1; Cal. Rules of Court, rule 3.769.)

¿ Any

agreement that has injunctive relief against a class representative generally is not appropriate in a class action case. Provide the authority and factual reasons why this case is an exception. See Moniz, supra, 72 Cal.App.5th at 84. ("[T]he preclusive effect of a prior judgment is determined by the court in which it is asserted, not the court that rendered it." (Fireside Bank Cases (2010) 187 Cal.App.4th 1120, 1131 [115 Cal. Rptr. 3d 80].))

¿ Explanation

as to why any class representative enhancement is reasonable, including what the class representative did beyond the expected services of any class

representative. (Munoz v. BCI Coca-Cola Bottling Co. of Los Angeles (2010) 186 Cal.App.4th 399, 412; Radcliffe v. Experian Information Solutions Inc. (9th Cir. 2013) 715 F.3d 1157, 1165.) In PAGA settlements explanation should be provided as to why an incentive award is appropriate.

SETTLEMENT AGREEMENT

The settlement
agreement should address the following:

A. The Basics

¿ Class
definition. If a PAGA representative action is settled with a proposed Class
Settlement consider whether there should be separate definitions for Class
Members and Aggrieved Employees.

.
The Escalator Clause in the
Settlement Agreement at ¶8 states that “Defendant shall have the option to
avoid the triggering of the escalator clause, and to cap the workweek count as
of the date the total number of workweeks reaches (but does not exceed) 22,000
workweeks.” The parties must resolve any
uncertainty regarding the Class/PAGA Periods prior to preliminary approval
being granted and notice being distributed. Based on current records, the
parties and the administrator must review and verify the workweek total and
confirm the end dates of the Class/PAGA Periods, revise the Class and PAGA
Period definitions if needed, and remove the period-shortening option from the
Escalator Clause. Ensure that the Notice
and the Proposed Order are modified to match any alterations to the Settlement
Agreement.

¿ Class
and Release Period: If the class and release periods extend beyond the preliminary
approval explain why this is appropriate.

B. Release of Claims

¿ Scope:

The scope of any release given by class members must be defined with precision and clarity. Any released claims not presented directly in the operative complaint should be based on the facts alleged in the operative complaint. (See *Amaro v. Anaheim Arena Mgmt.* (2021) 69 Cal. App. 5th 521, 537 and FN. 5; *Uribe v. Crown Building Maintenance Co.* 70 Cal. App. 5th 986, 1005.)

¿ Class

cases which include a PAGA claim should have a separate release for the PAGA claim tied to the facts alleged in the notice given to the LWDA. *Id.*

¿ If PAGA and Class

Settlement: The Release and Notice should provide an explanation that released claims include all PAGA claims that could have been premised on the facts alleged in the Plaintiff's LWDA Letter and aggrieved employees will release PAGA claims even if class members request exclusion from the class. See *Robinson v. Southern Counties Oil Co.* (2020) 53 Cal.App.5th 476.

¿ A Civil

Code section 1542 waiver is generally not appropriate in a class action case as to the putative class members (if applicable). Provide the authority and factual reasons why this case is an exception. (*Israel-Curley v. California Fair Plan* (2005) 126 Cal.App.4th 123, 129; *Salehi v. Surfside III Condominium Owners' Assn.* (2011) 200 Cal.App.4th 1146, 1159–1161.)

¿ Release

Effective Date: Indicate the point in time at which the release will be deemed effective as to the absent class members. If the release will be effective before settlement funds are paid, explain why this is in the best interest of the class.

¿ Class

Data: If there are confidentiality provisions, explain why they are in the best interest of the Class and whether they will impede Class Counsel's ability to discharge fiduciary duties.

C. Monetary Terms of Settlement

¿ Settlement

Amount: Indicate the amount of the gross settlement, how and when the

settlement will be paid, and information regarding payment plan, if any. If a class claim is being settled with a PAGA claim the amounts allocated should be separated and paid only to the aggrieved employees.

¿ Deductions

from the settlement fund: Indicate the amounts to be deducted from the gross settlement for attorneys' fees and costs, plaintiff incentive awards, administrative costs, PAGA payment and allocation of award to LWDA and the parties, and any other existing deductions.

¿ If

there are subclasses, explain why the monetary distribution is fair to each subclass. Ensure there is a class representative who fits the definition of each subclass.

¿

Information about how attorney fees will be calculated. The percentage method, with or without a lodestar cross-check, may be used in common fund cases. (Laffitte v. Robert Half Internat., Inc. (2016) 1 Cal.5th 480, 503.) In other cases, counsel should fully brief how the fees are calculated.

¿ If

wages are involved, explain how Defendant's share of taxes will be paid.

¿

Whether, and under what circumstances, amounts may revert to Defendant, and a

justification for such reversion (if applicable). (Cundiff v. Verizon California, Inc. (2008) 167 Cal.App.4th 718, 728–729.)

¿ Payment

Formula: Amount and manner of distribution of the compensation to each class member, including the estimated amount each class member will receive and the timeline on which payments will be issued.

¿ Tax

allocation of settlement payments.

¿ Nature

of injunctive relief (if any), and valuation of such relief.

D. Notice Administration

The following

issues regarding notice administration should be addressed in the settlement

agreement. A copy

of the proposed notice must be attached to the settlement agreement as an

exhibit.

¿ Indicate

the administrator for the settlement and why the bid for administration is

fair.

¿ Provide

the qualifications and experience of the Administrator, including evidence that

the settlement administrator has procedures in place to protect the security of

class data and adequate insurance in the event of a data breach or defalcation

of funds.

¿

Indicate how/when the administrator will receive the class list.

¿

Indicate whether the list will be updated by the administrator prior to the

initial mailing by use of National Change of Address Registry.

¿ Provide

the deadline for the initial issuance of notice to class members.

¿ Ensure

the content of the notice complies with California Rules of Court, rule

3.766(d). In wage and hour cases the notice should indicate the specific amount

the class member will receive and how that amount was calculated. A separate

breakdown for PAGA payments should be provided. The terms of the release(s)

should be reflected in the Notice.

Address the
following issues in the Notice:

1.

What is the purpose of the blank space on page 2 of
the Notice?

2.

Correct the following sentence: “v will not retaliate
against you for any actions you take with respect to the proposed
settlement.” (Notice, p. 3.)

3.

According to the Notice, “Defendant will fund the
Gross Settlement not more than [14] days after the judgment entered by the
Court becomes final.” (III.1) However, according to the Settlement
Agreement, Defendant shall fund the settlement no later than 65 days after
entry of Judgement. (§4.2) Address this inconsistency.

4.

Correct the name of the administrator on page 6 of the
Notice.

5.

Include the definition of Released Parties in the
Notice, as set forth in the Settlement Agreement at §1.45.

6.

The Notice at §§VI and VII should clarify that
requests for exclusion and written objections may be submitted to the
Administrator via fax, email, or mail, as set forth in the Settlement Agreement
at §§1.47, 7.5.1, 7.7.2.

7.

The link provided in §IX directing recipients of the
Notice to the Court’s website is invalid.
Provide a valid link.

¿ Ensure

the notice accurately reflects the Court’s current social distancing procedures

for attendance at hearings and review of court files. (Counsel should check the Court website for most current information.)

¿ Indicate

how and when payments will be processed.

¿ Indicate

how notices returned to the administrator as undeliverable will be handled.

¿ Explain

how re-mailed notices, if any, will be handled. Will class members who receive re-mailed notices be given an extended deadline to respond (i.e., opt-out, object, and dispute workweeks)?

¿ Explain

how notice of any change of the date or location of the hearing will be given.

¿ Indicate

whether there will be a settlement website. If so, provide the URL.

¿ If

publication notice will be given indicate the timing, locations, and manner by which publication notice will be disseminated.

¿ Explain

how notice of final judgment will be given to the class. (Cal. Rules of Court, rule 3.771(b)) (e.g. Posted on administrator's website.)

E. Responses to Notice

¿

Description of the procedures for submitting written objections, requests for exclusion, claim forms (if applicable) and disputes to estimated payments.

¿

Indicate the deadline to submit objections, requests for exclusion, claim forms (if applicable), and/or disputes to workweeks. Confirm the deadline is reasonable and that class members who receive re-mailed notices will be given an extension.

¿ The

objection procedure should be the same as the opt-out procedure, with the only requirement being that objections be mailed to the settlement administrator and not filed with the court.

¿ Do not

include language indicating that class members may only be heard at final approval if they have complied with all objection procedures or that they must use specific language to request exclusion, or, if a specific procedure is sought, explain why it is necessary. In general, the court will hear from any class member who attends the final approval hearing and asks to speak regarding his or her objection.

F. Cy Pres Distribution

¿ Indicate

the length of time from issuance for which settlement checks will remain valid.

¿ Identify

the fund to which uncashed checks will be directed and detail the steps that will be taken to ensure compliance with Code of Civil Procedure section 384. The Court's Omnibus Trailer Bill of 2018 replaced the language of the prior statutory distribution scheme under Code of Civil Procedure, section 384 with a requirement that the Court re-open judgments following the final distribution of funds to include the cy pres in the judgment and to include the unclaimed amount, plus an unspecified amount of interest. Such information should be actively contemplated/provided for within the current terms of the settlement.

¿ Explain

why the cy pres distribution fulfills the purposes of the lawsuit or is otherwise appropriate. (State of California v. Levi Strauss & Co. (1986) 41 Cal.3d 460, 472; In re Microsoft I-V Cases (2006) 135 Cal.App.4th 706, 722; Nachshin v. AOL, Inc. (9th Cir. 2011) 663 F.3d 1034, 1038–1041; Dennis v. Kellogg Co. (9th Cir. 2012) 697 F.3d 858, 865; Code Civ. Proc., § 384.)

¿ Provide

declarations by all parties and counsel disclosing any interest or involvement (or lack thereof) in the governance or work of the cy pres recipient.

G. MISCELLANEOUS

¿ Assure the Settlement Agreement and Notice are consistent and that the Settlement Agreement (including revised versions) has been signed by all parties and counsel. Carefully proofread both.

¿ The Settlement Agreement and paperwork derivative thereof should not suggest that the end result of court approval will be dismissal of the Action with prejudice or entry of a Final Judgment and Order dismissing with prejudice all claims. See California Rules of Court, rule 3.769(h).

III. EXHIBITS TO THE MOTION

¿ Provide proof of submission of the proposed settlement agreement to the LWDA. (Lab. Code, § 2699, subd. (l)(2).)

¿ Include a proposed Judgment, which should not include a dismissal or any findings not contained in the Final Approval Order. (Cal. Rules of Court, rule 3.769(h).)

¿ All exhibits should be bookmarked, as set forth in the Presiding Judge's First Amended General Order of May 3, 2019 re: Electronic Filing, available on the Court website.

If the Settlement Agreement is modified pursuant to this checklist, please submit both a red-lined copy showing changes made as well as a final version signed by all parties and counsel. Do not submit an addendum in lieu of a full amended settlement agreement including all operative settlement terms.

Modify notice to match any alterations to the Settlement Agreement.

Date: August 11, 2026

JUDICIAL
OFFICER